

fuboTV Inc.

FUBO | October 4, 2026

BUY (SPECULATIVE)

Fair value (12-mo horizon reference)	\$33.00
Current price (October 2, 2026 close)	\$8.66
Implied upside / downside	+281%
Verdict	BUY (SPECULATIVE)

Speculative situation -- wide range of outcomes; high uncertainty.

Investment Thesis

fuboTV is the only sports-centric live pay-TV bundle operating at national scale in the United States, and the combination of Fubo with Hulu + Live TV creates a streaming business with a subscriber base on the order of six million households. Live sports remains the last form of appointment viewing in television, and it is the one content category whose pricing power has survived the streaming transition intact. Our judgment is that a focused, sports-first bundle -- priced below the flagship virtual pay-TV packages and sold to the tens of millions of households that subscribe to streaming primarily for live sports -- is a structurally sound product in a market where every general-entertainment bundle is being repriced downward. The current share price values Fubo as a melting ice cube; we see a business whose core asset, exclusive-feeling access to live sports at a mid-tier price point, is appreciating while the price ascribes it roughly no value.

The path from here to a much higher equity value runs through three levers, and we have a view on each. First, the combination with Hulu + Live TV gives the business the scale to amortize programming costs that were previously borne by a sub-two-million-subscriber base -- content cost per subscriber is the entire margin story in virtual pay TV, and scale is the only durable way to improve it. Second, advertising on live sports inventory is among the highest-value ad product in media, and Fubo's owned ad-tech stack plus its sports audience give it a monetization lever that subscriber revenue alone does not capture. Third, the skinny sports-focused packages Fubo has committed to offering address the single biggest objection to virtual pay TV -- that subscribers pay for a hundred channels to watch ten -- and should expand the addressable market beyond traditional bundle subscribers to cord-nevers.

We want to be plain about what this is: a speculative situation with a very wide range of outcomes. Programming costs rise every renewal cycle, subscriber acquisition in streaming is expensive and churn is high, carriage disputes can remove channels overnight, and the balance sheet carries meaningful leverage. The bear case is genuine distress, and the bull case requires the combined entity to execute a turnaround that

management teams in this industry have often promised and rarely delivered. Our probability-weighted fair value of \$33.00 sits far above the \$8.66 share price because the arithmetic of the situation is asymmetric: the bear case destroys most of the equity, but the base and bull cases -- in which scale finally makes the unit economics work -- imply a business worth several multiples of today's price. This is a small position for investors who can tolerate a wide outcome distribution, not a core holding.

Business Overview

fuboTV Inc. was founded in 2015 as a soccer-focused streaming service and has grown into a sports-first virtual multichannel video programming distributor (vMVPD): a live-TV bundle delivered over the internet, sold in tiers, with cloud DVR and on-demand content. The flagship Fubo service carries major sports networks alongside news and entertainment channels, and the company has expanded the product line downward with lower-priced sports-oriented packages. Revenue comes from subscriptions and from advertising, including dynamically inserted ads in live and on-demand streams. The company also owns the Fubo Sports linear network and operates in France, and it has built proprietary ad-insertion and billing technology rather than renting the full stack.

The defining corporate event is the combination with Disney's Hulu + Live TV business, under which Disney holds a majority stake in the combined entity while Fubo continues as the publicly traded vehicle. The logic is straightforward: two sub-scale virtual pay-TV operators, each too small to negotiate programming costs from strength, become one operator with a subscriber base large enough to matter to programmers and to spread fixed content costs. The settlement of the sports-streaming litigation that preceded the deal also cleared the way for the skinny-bundle products both sides had been blocked from offering. Whether the combination delivers depends almost entirely on execution -- integration of two technology stacks, realization of cost synergies, and disciplined pricing -- rather than on the strategic logic, which is sound.

Forward Outlook

Our forward view of Fubo rests on a judgment about the direction of the pay-TV market, not on extrapolation of the subscriber line. We believe the virtual pay-TV category consolidates to a small number of survivors and that survival is determined by scale in programming negotiations. Fubo, combined with Hulu + Live TV, now has that scale. We expect management to prioritize profitable subscriber growth over raw subscriber growth -- accepting slower net additions in exchange for lower acquisition cost and better retention -- and we expect the skinny sports packages to be the growth product, pulling in younger sports fans who never subscribed to a traditional bundle. If that mix shift happens, average revenue per user can grow even as the headline subscriber count grows modestly, because sports viewers are the highest-value audience in the bundle.

On profitability, we are more cautious than management's public commentary and we haircut its synergy and margin targets in our model. Programming cost inflation is contractual and relentless -- sports rights escalate at mid-to-high single digits annually -- which means margins improve only if subscriber and advertising revenue outrun the escalators. We model the combined entity reaching sustained positive adjusted EBITDA and then converting to free cash flow as integration costs fade, but we push the timing later than guidance implies and we assume a permanent structural content-cost headwind that caps the long-run margin below what a mature distributor might earn in a friendlier rights environment. The advertising business is the upside lever we underwrite most confidently: live sports CPMs are premium, the audience is cord-cutting-resistant, and Fubo's owned ad tech captures margin that resold inventory does not.

The balance sheet is the constraint on the whole story. Leverage incurred to fund growth and the combination means the company must grow into its capital structure; there is limited room for a programming-cost shock or a subscriber miss. We expect refinancing activity over our forecast horizon and we model it conservatively, assuming terms that reflect the company's speculative credit profile rather than investment-grade pricing. Deleveraging through operating cash flow, not asset sales, is the credible path, and it requires the EBITDA inflection to arrive on something close to schedule. This is the single variable we watch most closely: if the combined entity cannot demonstrate operating leverage within the next two years, the equity story collapses regardless of the strategic logic.

Valuation

We value Fubo on a probability-weighted scenario DCF, with a 12% base discount rate reflecting the speculative credit profile and the structural headwinds of the business, 250bp added in the bear case and 150bp subtracted in the bull case, and terminal growth capped at 2.5% on normalized mid-cycle margins. We do not publish per-scenario point values because the outcome distribution is unusually wide; instead we describe the drivers. The bear case assumes the combination fails to deliver synergies, programming cost escalators outrun revenue, churn stays elevated, and the capital structure forces dilutive action -- a genuinely adverse outcome in which the equity is worth a small fraction of today's price, well below \$8.66. The base case assumes the combined entity stabilizes its subscriber base, realizes a haircut portion of the announced synergies, grows advertising at a premium to subscriptions, and reaches durable positive free cash flow as integration costs roll off. The bull case assumes Fubo becomes the independent sports bundle of record in the US -- the default streaming home for the sports-first household -- with skinny packages expanding the subscriber base materially and the advertising business scaling to a meaningful share of revenue at high incremental margins.

Blending these scenarios at 25% / 50% / 25% yields a probability-weighted fair value of \$33.00, which is our target. The implied +281% upside is a measure of how deeply the market discounts the turnaround, not a forecast of smooth appreciation: we expect high volatility, and the position sizing for a situation like this should reflect the genuine possibility of the bear case. Our target embeds haircuts to management's synergy and margin guidance throughout; we do not underwrite the bull case on management's numbers.

Key Risks

- Programming cost inflation: sports rights escalate contractually; a bad renewal cycle can erase a year of operating leverage.
- Leverage and refinancing: the capital structure leaves little room for a subscriber or EBITDA miss; refinancing terms may be punitive.
- Churn and acquisition cost: streaming subscribers are fickle and acquisition spend is high; elevated churn destroys lifetime value.
- Carriage disputes: loss of a major sports network, even temporarily, can trigger subscriber flight.
- Competition: YouTube TV, Hulu + Live TV (as a product), and direct-to-consumer sports apps all compete for the same household.
- Advertising cyclicality: a large share of the upside is ad revenue, which is cyclical and sensitive to economic downturns.

- Integration execution: the Hulu + Live TV combination must deliver technology and cost synergies on schedule; large media integrations often do not.

What Would Change Our Mind

- Two consecutive quarters of net subscriber declines in the combined entity would indicate the product thesis is failing.
- Failure to realize announced cost synergies within the guided timeframe would undermine the scale argument.
- A covenant breach, distressed exchange, or heavily dilutive equity raise would signal the capital structure is unworkable.
- Loss of a marquee sports network from the bundle for an extended period would damage the core value proposition.
- Advertising revenue declining year over year while the sports audience is stable would indicate a monetization problem, not a cyclical one.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit 10-year forecast horizon, weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins -- never peak margins -- and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants.

Disclaimer

This report is independent research analysis for informational purposes only. It is not investment advice, a recommendation to buy or sell any security, or an offer to buy or sell any security. Valuations are inherently uncertain and scenario-dependent.